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29 October 2026 Binance Security Incident: Initial Findings and Response Update

2026-11-03



On 29 October 2026, Binance experienced a serious and highly sophisticated security incident. This should not have happened, and we apologise for the concern, disruption and uncertainty it caused our users, partners and the wider industry.

Our first responsibility is to protect users. Binance will absorb the financial impact of the stolen funds, not our users. We have already set aside more than 100% of the funds required to cover the loss. As of 31 October 2026, 98% of the impacted token assets have been replenished and are verifiable on our Proof of Reserves page. We are in the process of purchasing the outstanding, more illiquid assets.

Approximately USD 6.34 billion in digital assets were impacted by the incident. As of this update, approximately USD 2.85 billion in digital assets have been frozen or intercepted, subject to reconciliation and market price volatility.

We have taken immediate action to contain the incident and strengthen the systems involved. The entry points identified as having been used in the attack have been closed. Systems touched in the attack path have been rebuilt or replaced. We have also implemented tighter device controls, enhanced wallet-service risk controls and expanded AI-based behavioural anomaly detection.

This is our initial report. It covers what we know today and what we have already improved. The investigation remains ongoing and our findings will be subject to further independent review. Some technical details will remain confidential to prevent malicious actors from using them to plan attacks. We are engaging independent security firms for further review.

The latest information released by the Federal Bureau of Investigation indicates that the Democratic People's Republic of Korea is responsible for this incident.

We are sharing this initial report because security improves when the industry learns together.

What happened on 29 October

The attack unfolded quickly across several networks.

The attacker exploited unauthorized access to an internal wallet signing service to initiate transactions outside the normal withdrawal process.

Between **20:05 UTC** and **20:09 UTC**, five Binance hot wallets sent **233.46 million XRP** to an attacker-controlled address.

Binance hot wallets on Solana and Optimism sent approximately **970,500 SOL** and **44.2 million OP** to attacker-controlled addresses.

Binance then received an internal alert regarding large-volume transfers and immediately began investigating.

Binance hot wallet sent 18,270 BTC to an attacker-controlled address.

The attacker then used the signing service to exploit Ethereum's EIP-7702 authorization mechanism. EIP-7702 allows an account to delegate certain execution rights to a smart contract without exposing the private key. In this case, the attacker used that mechanism to give an attacker-controlled smart contract partial execution rights over a Binance hot wallet.

Binance immediately initiated multiple containment measures, including suspending withdrawals to restrict further outflows, coordinating with partners to freeze affected tokens, and taking steps to revoke unauthorized permissions. These efforts froze a total of $2.85 billion in assets.

However, suspending withdrawals alone could not stop all unauthorized asset movements. The malicious EIP-7702 authorizations existed on-chain and operated independently of Binance's normal withdrawal infrastructure.The attackers submitted 50 signing transactions to manipulate the account nonce and establish malicious delegation authorizations. Once established, these authorizations enabled the attackers to continue moving assets independently of Binance's normal withdrawal infrastructure. Binance needed additional transactions to revoke these on-chain authorizations.

The containment process involved additional technical complexities. Because the hot wallet used Multi-Party Computation (MPC), there was no single private key that could be used to immediately revoke the malicious EIP-7702 authorizations. The team therefore developed and executed a specialized procedure to revoke these authorizations, which required additional time. Furthermore, suspending withdrawals and shutting down hot wallet services did not automatically invalidate existing on-chain authorizations.

These challenges extended the time required to fully contain the unauthorized asset movements. We are reviewing the incident response process, signing policy coverage, hot wallet controls and identifying opportunities to further strengthen our ability to respond rapidly to threats in the future.

The final unauthorized transfer of **2,961.9 ETH** finalised on-chain at **23:56 UTC**. The transaction had previously been broadcast and remained pending before subsequently finalising. No further unauthorised transfers were observed after.

At **00:10 UTC on 30 October 2026**, Binance executed a new authorization from the Binance14 hot wallet to the zero address, clearing the EIP-7702 delegation code.

Attack Preparation

Our current investigation indicates that this was a sophisticated, multi-stage campaign. It was not a single isolated breach or a simple phishing incident. The attackers combined a range of techniques, including social engineering by fake recruitment interviews, malicious software downloads, compromised internal AI tooling, endpoint compromise, and an advanced transaction-authorisation method.

- **June 2026 — Supply chain attack.** Engineer A from Wallet DevOps downloaded a tampered Homebrew installation in order to install a popular AI coding tool after searching for it on a search engine. Our security team detected the anomaly, replaced the device, and rotated all related credentials as a proactive security action. However, Engineer A's role and his related colleagues on our wallet infrastructure team was exposed to the hacker.
- Throughout 2026, Binance's security team detected and prevented 57 suspected North Korea-linked cyber threat cases. These attempts reflect the persistent threat posed by state-sponsored actors targeting the cryptocurrency industry. The techniques include fraudulent job interviews, malicious software disguised as popular developer tools, compromised software packages and browser extensions, fake video conferencing applications, and social engineering campaigns designed to steal credentials or deploy remote access malware.
- **September 2026 — social engineering.** Software Engineer B was contacted through a legitimate job-hunting platform by an individual posing as a Project Director. Software Engineer B had a profile on the platform that referenced his experience at Binance. The purported Project Director arranged a first-round interview with a HR representative, followed by a second-round interview with an individual claiming to be the CEO of a fictitious company.
    - In the first round, the purported HR representative conducted a live video interview with Software Engineer B. The interviewer shared a social media account with him, including personal photos and videos posted on the platform, in order to build trust. This was more advanced and deceptive than previously seen social engineering approaches.
    - The second interview was conducted in a popular social chat app, near the end of the interview, Engineer B was instructed to download an "assignment" containing a malicious code repository onto his work computer. The repository contained malicious code that executed during the setup process, initiating a series of unauthorized activities.
    - The malware employed sophisticated obfuscation and evasion techniques, including replacing a legitimate development tool component with a malicious version to execute commands and establish communication with an attacker-controlled external server. The 0-day malware was not detected by the endpoint security protection tools at the time. The attacker also took steps to conceal the malicious activity and remove traces of the compromise, making detection and subsequent investigation more challenging.
    - The script executed the below steps by applying obfuscation techniques to evade security detection.

*CREATE /opt/homebrew/Cellar/pyenv/2.8.0/libexec/pyenv_*

MODIFY pyenv_ → 3,414 B

DELETE .../libexec/pyenv (3,344 B) ← remove the valid pyenv

RENAME pyenv_ → pyenv (3,414 B) ← replace it with a malicious version

DELETE /opt/homebrew/bin/pyenv (3,414 B)

ln (create a new symlink) + spawn zsh

- **20 October, 2026 — use of an internal AI tool as a springboard.** The attacker leveraged the compromised computer of engineer B and used an internal AI tool to gain control over the Wallet DevOps Engineer A and another Wallet Software Engineer C. The attacker soon discovered Wallet DevOps Engineer A had a container deployment permission token on his computer.
- **29 October, 2026 — reach into wallet signing operations.** On 29 October between 17:15 and 19:56, the attacker logged onto Software Engineer C's computer, used the credentials stolen from Wallet DevOps Engineer A, deployed a container, and triggered a malicious script to launch the attack.

What we have done

As of Nov 3, 2026, we have taken the following actions:

- Rebuilt the affected wallet system in a new environment.
- Rebuilt the affected internal AI tool and access controls.
- Replaced affected devices.
- Decommissioned credentials and tokens related to affected engineers.
- Completed enhanced security scans across all employee devices.
- Enhanced AI-based behavioural anomaly detection.
- Strengthened wallet-service risk controls.
- Worked with law enforcement, blockchain intelligence firms and industry partners to trace and freeze affected assets.

We will continue to strengthen our measures as the investigation progresses. There are a number of security measures we have implemented and are implementing that will remain private to prevent malicious actors from compromising our security.

Further actions

We are taking the following steps immediately.

1. Independent cybersecurity review

We are engaging independent third-party cybersecurity experts to conduct a comprehensive review of the incident, validate our findings and recommend additional measures. The scope and findings of that review will inform our continuing remediation work.

2. Expanded investment in AI security and prevention

We are increasing investment in AI-enabled detection, endpoint protection, developer-environment security and behavioural anomaly monitoring.

3. Security research fund and industry initiatives

We are working on establishing a security research fund and targeted initiatives with leading AI companies, industry participants and security firms focused on AI security in blockchain environments.

We will continue to proactively share information as and when we have it.

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